

Nepal Rastra Bank Frequently Asked Questions:

This document contains frequently asked question by many users over the time. This document may provide you important information's.

1. Public Services Offered by Provincial Offices of Nepal Rastra Bank:

From the provincial offices of Nepal Rastra Bank, the general public can receive services related to coin and note exchange, foreign currency exchange, purchase of gold, silver and gold coins, souvenir coins, purchase and sale of government bonds, and hearing and addressing any complaints regarding the activities of banks and financial institutions licensed by Nepal Rastra Bank.

2. Services Available to the Public from Nepal Rastra Bank Headquarters:

From Nepal Rastra Bank, the general public can receive services related to coin and note exchange, foreign currency exchange, purchase of gold, silver and silver coins, souvenir coins, purchase/sale of government bonds, and hearing and addressing any complaints regarding the activities of banks and financial institutions and institutions licensed by Nepal Rastra Bank.

3. Identification of Nepal Rastra Bank Licensed Organizations via Signboard and Official Website:

An organization licensed/permitted by Nepal Rastra Bank has the words "Licensed/Permitted by Nepal Rastra Bank" written on its signboard. In addition, a list of organizations licensed/permitted by this bank is also kept on the bank's website.

4. Nepal Rastra Bank's Non-Involvement in Licensing and Regulation of Cooperatives:

Nepal Rastra Bank does not grant permission to cooperatives, and Nepal Rastra Bank does not regulate or supervise such institutions.

5. Types of financial institutions and banks licensed by Nepal Rastra Bank:

There are 4 types of banks and financial institutions licensed by Nepal Rastra Bank, namely commercial banks, development banks, finance companies and microfinance financial institutions. These institutions are also classified as "A", "B", "C" and "D" class banks and financial institutions respectively. Apart from these, infrastructure development banks and hire purchase companies are also licensed by this bank.

6. Entities eligible to receive loans and overdraft facilities from Nepal Rastra Bank:

Nepal Rastra Bank can provide loans and refinances to banks and financial institutions for a maximum period of one year. In addition, the bank can also provide overdraft facilities to the Government of Nepal, if necessary, to repay the loan within one hundred and eighty days.

7. Entities prohibited from opening accounts at Nepal Rastra Bank:

The Nepal Rastra Bank Act prohibits operating an account for any individual, industry, or political organization. Therefore, the general public and private organizations cannot open an account at Nepal Rastra Bank.

8. Entities authorized to open an account at Nepal Rastra Bank:

The Government of Nepal, other government entities, commercial banks and financial institutions, public corporations, foreign missions, foreign central banks, foreign banks and international organizations and institutions can open an account at Nepal Rastra Bank.

9. Main functions and duties of Nepal Rastra Bank:

Nepal Rastra Bank mainly performs the following functions: Issuing Nepalese currency and coins, licensing banks and financial institutions and regulating and supervising them, formulating monetary policy and foreign exchange policy, managing and operating foreign exchange reserves, acting as the banker, advisor and financial agent of the Government of Nepal, promoting and regulating the payment, settlement and reconciliation system, and managing liquidity.

10. The official mission statement of Nepal Rastra Bank:

The mission of Nepal Rastra Bank is to “achieve macroeconomic and financial stability through effective monetary, foreign exchange, financial sector, and payment system policies for sustainable and inclusive economic development.”

11. The official vision statement of Nepal Rastra Bank:

The vision of Nepal Rastra Bank is to be a "modern, dynamic, reliable and effective central bank".

12. Main objectives of Nepal Rastra Bank:

The main objectives of Nepal Rastra Bank are to formulate and manage monetary and foreign exchange policies to maintain price and balance of payments stability, to regulate and supervise the banking sector to maintain the stability of the banking and financial sector, and to develop a safe, sound, and efficient payment system.

13. Location of Nepal Rastra Bank's offices across the seven provinces of Nepal:

Nepal Rastra Bank offices are located in all seven provinces of the country. There are provincial offices of Nepal Rastra Bank in Biratnagar of Province-1, Janakpur and Birgunj of Madhesh Province, Pokhara of Gandaki Province, Siddharthanagar and Nepalgunj of Lumbini Province, Surkhet of Karnali Province, and Dhangadhi of Sudurpaschim Province. The central office, banking department, and tax division are located in Kathmandu of Bagmati Province. Currently, only economic research and limited government transaction-related work is being carried out from the provincial office in Surkhet.

14. Establishment date of Nepal Rastra Bank:

Nepal Rastra Bank was established on 26 April 1956 (Baisakh 14, 2013).

15. Description of Nepal Rastra Bank's role and the location of its central office:

Nepal Rastra Bank is the central bank of Nepal. It is the monetary authority of Nepal and also the regulator and supervisor of the banking system. Its central office is located in Baluwatar, Kathmandu.

16. The role of Nepal Rastra Bank in maintaining price stability through monetary policy:

Maintaining price stability is one of the objectives of Nepal Rastra Bank as mentioned in Section 4 of the Nepal Rastra Bank Act, 2058. To control demand-side inflation in the economy, Nepal Rastra Bank plays a role in maintaining price stability through appropriate management of monetary variables including interest rates, availability of credit, and money supply through monetary policy.

17. The meaning and significance of price stability:

What is its importance? Price stability means low and stable inflation. Price stability helps maintain the purchasing power of the currency. In such an environment, it is easier for the general public and business people to plan and make decisions related to spending and investment. Maintaining price stability promotes

investment and employment in the economy, thereby achieving sustainable economic growth and maintaining macroeconomic stability.

18. Measurement of consumer inflation in Nepal:

Consumer inflation is measured on the basis of the Consumer Price Index. First, the consumer price index is calculated by collecting the prices of goods and services in the consumer basket (CPI Basket) determined in the base year 2080/81 on a weekly, monthly and quarterly basis. The rate of annual point change in the consumer price index thus obtained is called inflation. The current consumer basket includes 525 goods and services. Inflation is measured by collecting prices regularly from 87 market centers in 77 districts across the country. For detailed information: https://www.nrb.org.np/contents/uploads/2024/10/Technical_Note_CPI-_Nepal.pdf

19. Composition of Nepal's Consumer Price Index basket:

The results of the 'Fourth Nepal Living Standards Survey (NLSS-IV)' conducted by the Government of Nepal, National Statistical Office, have been taken as the basis to identify the weights and items required for calculating the Consumer Price Index. The consumer basket has been determined by identifying 525 goods and services that are used the most by households in Nepal. The consumer price index is prepared by collecting the regular prices of these goods and services using the fiscal year 2080/81 as the base year. The selected goods and services have been divided into two groups, namely food and beverages and non-food and services. The weight of food and beverages is 35.49 percent, and there are 10 subgroups under it. Similarly, the weight of non-food and services is 64.51 percent, and there are 13 subgroups under it. In the past, the sub-groups of alcoholic beverages, tobacco products, and restaurant and hotel meals were placed under the food and beverage group, but in the preparation of the new index, they have been placed under the non-food and services group according to COICOP 2018. For detailed information: https://www.nrb.org.np/contents/uploads/2024/10/Technical_Note_CPI-_Nepal.pdf

20. Availability of Nepal Rastra Bank publications:

Nepal Rastra Bank publications are mainly available on the bank's website www.nrb.org.np. Some publications are also available in print and such printed publications are also available at the bank's central office, Baluwatar.

21. Data collection and dissemination by Nepal's central bank:

Nepal Rastra Bank collects, processes and publishes data on credit, deposit and financial sector, payment services, prices, financial access, money supply, government revenue and expenditure, balance of payments and international finance, and other macroeconomic and financial sector-related issues as required. Such data can also be obtained from various publications and websites of this bank under Databases on Nepalese economy.

22. Definition and construction of Nepal's Salary and Wage Index:

The Salary and Wage Index measures the change in the price of labor (salaries and wages). The base year of this index has been updated to 2080/81. The index has been constructed by collecting data from 1,025 sample organizations in market areas in 30 districts, representing all provinces. This index includes 11 categories under the Nepal Standard Industrial Classification (NSIC) and all categories under the Nepal Standard Classification of Occupations (NSCO). For detailed information: <https://www.nrb.org.np/contents/uploads/2025/01/Final-SWRI-Report.pdf>

23. How Nepal's Wholesale Price Index is calculated:

The Wholesale Price Index measures the wholesale price level of goods. Currently, in Nepal, the wholesale price of 262 items is calculated by collecting prices on a fortnightly, monthly and quarterly basis, taking the fiscal year 2074/75 as the base year. Among these items, there are two sub-groups under the primary group, two sub-groups under the fuel and energy group, and 13 sub-groups under the production group. The weight of these groups is 33.59 percent, 8.76 percent and 57.65 percent respectively.

24. Discrepancy between official and perceived inflation:

The price index published by the Nepal Rastra Bank is based on the weighted average price index of goods and services included in a specified basket of goods and services. Such goods and services are divided into different groups and given weights. Even if the price of a certain good or service increases by a large amount, the average weighted price may only change slightly when the price of another good or service decreases by a large amount. However, since the general public perceives that only the goods and services they purchase have increased or decreased in price, there may be a discrepancy between the price index published by the Nepal Rastra Bank and the price increase experienced by the general public.

24. Definition of consumer inflation:

Consumer inflation refers to the increase in the average price of goods and services consumed by the general consumer. Inflation refers to the rate of change in the average price of goods and services as a whole, rather than the increase in the price of any one good or service.

26. Understanding the export-import price index and terms of trade:

Export and import price index measures the unit price of goods exported and imported during a certain period of time. The export-import price index ratio is also called the terms of trade. If the export-import price index ratio increases, it is considered that the terms of international trade are favorable for the exporting country. Nepal Rastra Bank has been publishing the export-import price index monthly.

27. Definition and significance of the balance of payments:

The balance of payments position is a summary of the economic and financial transactions between resident and non-resident individuals and institutions within a certain period of time. If the balance of payments surplus increases, foreign currency inflows from external transactions increase, while if there is a deficit, foreign currency outflows increase. Nepal Rastra Bank publishes details of the current account and overall balance of payments position on a monthly basis. The balance of payments account includes transactions with non-resident individuals and institutions in the current account and capital and financial accounts.

28. Definition and components of the current account balance:

The current account balance is the summary of current economic transactions between resident and non-resident individuals and institutions during a certain period of time. The current account can be in deficit or surplus. A current account deficit means that net borrowing has been made from other countries, and a current account surplus means that net lending has been made to other countries. The current account consists of the goods and services trade account, the income account, and the transfer account.

29. Nepal's policy on capital account convertibility:

The facility to conduct transactions in the capital and financial accounts under the balance of payments account without hindrance is called capital account convertibility. Nepal has not completely converted transactions under the capital account. Foreign direct investment has been encouraged in most sectors, while foreign credit inflows have been regulated. On the other hand, short-term capital inflows, real estate investment, government bonds, and portfolio investment in the capital market have not been opened. External capital inflows have been completely blocked.

30. Explanation of current account convertibility:

Current account convertibility is the system in which domestic currency can be easily converted into foreign currency and foreign currency into domestic currency for the payment of current transactions, including international trade in goods and services, income, and current transfers.

31. Definition and requirements of the statutory liquidity ratio:

The statutory liquidity ratio is the obligation that banks and financial institutions must maintain a certain percentage of their total deposits in cash and liquid assets such as government bonds. Currently, commercial banks are required to maintain a statutory liquidity ratio of 12 percent of their total deposit liabilities, including mandatory cash balances, government securities, and cash in the bank's treasury, while development banks and finance companies are required to maintain a statutory liquidity ratio of 10 percent.

32. Definition and current rate of the cash reserve ratio:

The required cash reserve ratio is the amount that banks and financial institutions are required to keep as a mandatory reserve at Nepal Rastra Bank as a percentage of their total deposit liabilities. Currently, banks and financial institutions are required to keep four percent of their total deposit liabilities at Nepal Rastra Bank as a mandatory cash reserve. It is a monetary policy tool.

33. Deposit collection bid as a tool for liquidity absorption:

Deposit collection bid is one of the various tools used by Nepal Rastra Bank to absorb excess liquidity in the banking sector for a certain period. Under this, Nepal Rastra Bank collects deposits from banks and financial institutions by determining the interest rate on the basis of a bid, which leads to the absorption of liquidity. There is also a provision to collect deposits at the deposit collection rate without bidding.

34. Definition and purpose of the Standing Liquidity Facility:

Standing Liquidity Facility is a liquidity facility provided by Nepal Rastra Bank for a specified period against government bonds for liquidity management at the request of banks and financial institutions. Currently, a system has been established to provide standing liquidity facilities at bank rates.

35. Instruments used in open market trading:

Open market trading includes instruments such as repo bids, reverse repo bids, outright purchase bids, outright sale bids, deposit collection bids, and Nepal Rastra Bank bonds.

36. How open market operations work:

Open market operation is the process of buying and selling or absorbing liquidity by the central bank, especially short-term government bonds, in the open market with the aim of managing liquidity in the market and keeping interest rates at the above level. The central bank buys and sells government bonds in the open market based on the state of inflation and other indicators of the economy. When the central bank buys bonds in the open market, banks and financial institutions receive cash from the central bank, so the supply of money in the market increases and interest rates decrease. Similarly, when the central bank sells bonds in the open market, the excess liquidity held by banks and financial institutions is absorbed, which reduces the supply of money in the market and may increase interest rates.

37. Definition and purpose of the Liquidity Monitoring and Forecasting

Framework:

The Liquidity Monitoring and Forecasting Framework is the framework used by Nepal Rastra Bank to monitor and forecast the liquidity of the banking system based on details such as government financial position, foreign exchange transactions, open market transactions, etc.

38. Understanding the interest rate corridor and its components:

The interest rate corridor is a method adopted to keep short-term interest rates, i.e. interbank interest rates, within a certain range to bring stability to long-term interest rates. It also indicates the direction of monetary policy. The rate at which the standing liquidity facility is available acts as an upper limit and the deposit collection rate acts as a lower limit. These rates are changed from time to time by monetary policy as per the need.

39. Understanding Base Money, Reserve Money, and High-Powered Money:

Base money is the sum of money outside banks and financial institutions, money held by banks and financial institutions, balances of banks and financial institutions with the central bank, and other deposits held by the central bank.

40. Definition and components of Broad Money Supply (M2):

Broad money supply (M2) is the sum of narrow money supply (M1), savings deposits, call deposits, time deposits, and margin deposits. Similarly, broad money supply can also be obtained from the sum of net foreign assets and net domestic assets.

41. Narrow money supply (M1):

Narrow money supply is the sum of currency in circulation and current deposits.

42. Nepal's monetary policy targets and indicators:

The interim target of Nepal's monetary policy is a stable exchange rate and the operational target is the interbank interest rate. The growth rate of broad money supply (M2) and credit to the private sector is taken as an indicator to indicate the implementation status of monetary policy.

43. Main objectives of Nepal's monetary policy:

According to the Nepal Rastra Bank Act, 2058, the main objectives of monetary policy are to maintain price and balance of payments stability for economic stability and sustainable development of the economy.

44. The difference between monetary policy and fiscal policy.

The government's policy related to revenue, expenditure and public debt is called fiscal policy. Fiscal policy is made public in the form of the government's budget. The main focus of monetary policy is macroeconomic stability and it works to manage the money supply, credit and interest rates.

45. Issues of Monetary Policy in Nepal:

For how long is it issued? Nepal Rastra Bank, the central bank of Nepal, issues monetary policy for each fiscal year. There is also a provision for quarterly review of monetary policy.

46. Monetary policy of Nepal:

Monetary policy is the policy formulated by the central bank of a country to support the expansion of economic activity while maintaining macroeconomic stability. Monetary policy aims to support economic growth and job creation while maintaining economic stability through the management of money supply, credit, and interest rates.

47. working capital loan:

There is a ban on increasing the limit for old borrowers in the last month of the quarter (August, December, January, March, March). There is no ban on renewing loans and disbursing loans within the approved limit during those months, but if necessary, the loan limit can be approved/increased in that month and disbursed in the following month. This ban does not apply to new borrowers.

48. Adjustments for working capital loans disbursed before the new guidelines:

In the case of loans disbursed before the implementation of the guidelines, necessary adjustments must be made in accordance with the guidelines when reviewing or renewing such loans. While making such

adjustments, the loans disbursed in excess of the mentioned limit should be repaid gradually by mid-Ashar 2082.

49. Prepayment policy for working capital term loans:

Term loans of a working capital nature can be repaid in advance and there is a provision that banks and financial institutions are not allowed to charge prepayment charges for it.

50. Applicability of the working capital loan limit:

The working capital loan limit does not apply to loans other than working capital. Other loans required for business can be provided by banks and financial institutions for the same purpose as per existing policies and regulations.

51. Variance provision: its purpose and conditions:

The variance provision is implemented to make the estimated financial statements submitted by the borrower more realistic. This provision applies only if the transaction amount in the estimated statement submitted by the borrower while determining the credit limit is more than 20 percent less than the transaction amount in the audit report.

52. Cash Credit:

The cash credit limit cannot be used to repay loan-related principal, interest, or any other fees.

53. Overdraft Loan Eligibility:

After the implementation of the Working Capital Loan Guidelines 2079, only natural persons can take an overdraft loan. No organization/firm/company can take such a loan.

54. Term Loan Reusability:

Banks and financial institutions can provide more than one term loan for working capital purposes to the same borrower at different intervals, depending on the borrower's needs, if they see a business need.

55. Arrears Provision Applicability:

The 10 percent arrears provision of the procedure does not apply to all working capital. This provision applies only to cash credit loans, out of the four types of working capital loans in this procedure.

56. Working Capital Account Operations:

The borrower can deposit money from any source in the cash credit loan account among the various accounts of the working capital loan. However, since the account cannot be used for any purpose other than commercial purposes, it should be deposited only after adequate analysis.

57. Working Capital Deposit Policy:

Transaction/sales proceeds cannot be deposited directly in the working capital loan account. Such amounts should be deposited in the borrower's current account. The loan can be repaid by transferring the amount deposited in this way to the working capital loan account.

58. Working Capital Loan Usage:

The borrower can use the working capital loan amount for administrative and operational expenses related to the business. However, such payments must be made in a manner that is directly credited to the bank account.

59. Working Capital for New Businesses:

Such businesses are allowed to take working capital loans based on operating expenses and estimated cash and fund flows. (For more details, see Guidance Point No. 3.3 (e))

60. Ad Hoc Loan Frequency:

The guidelines do not specify any limit for providing Ad Hoc loans according to the needs of the borrower. However, the management of the bank and financial institution itself may provide an emergency loan to a borrower up to two times in a fiscal year, and if more than that is required, the board of directors of the concerned bank and financial institution may decide and provide emergency loans.

61. Emergency Working Capital Provision:

If the borrower unexpectedly needs financial resources, banks and financial institutions can provide emergency Ad Hoc working capital loans so that the funds are transferred directly to the relevant purpose.

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63. Working Capital Loan Limit Basis:

The working capital loan limit is determined based on the annual estimated turnover and audited financial statements of the company/firm/organization, as well as other indicators (such as Drawing Power) specified by the bank and financial institution in its loan policy.

64. Check Issuance Restrictions:

When issuing a check, a check can only be issued for business-related payments to be deposited directly into an account. A check cannot be issued to a person, company, or organization with whom there is no business relationship to withdraw or transfer funds.

65. Cash Credit Check Issuance:

Among working capital loans, only a check can be issued for a cash credit loan. However, a check cannot be issued to a person, company, or organization with whom there is no business relationship to withdraw or transfer funds.

66. Working Capital Loan Duration:

Working capital loans are generally provided for a period of less than one year. However, for Permanent Working Capital Needs, a term loan of at least three years and a maximum of ten years is provided.

67. Working Capital Guideline Exceptions:

These guidelines do not apply to businesses that use working capital loans up to Rs. 10 million (up to a total of Rs. 30 million in the case of manufacturing industries) from the entire banking system. However, the type of loan provided for working capital purposes should be in accordance with these guidelines.

68. Working Capital Loan Eligibility:

The loan provided by banks and financial institutions to manage the gap between the current assets and current liabilities of any organization/firm/company is called a working capital loan. Only organizations/firms/companies are eligible to take this type of loan. No natural person can take this type of loan.

69. Construction Sector Loan Types:

Loans related to the construction sector include the construction sector mentioned in the integrated directive issued by Nepal Rastra Bank to “A”, “B” and “C” class licensed institutions, Serial No. 6 of N.R. Bank Directive F.No.9.3 of 2079. In addition, for this purpose, loans directly related to construction, including cement, rods, bricks/blocks, pipes and fittings, are also included in the loans related to the construction sector.

70. Deposit Interest Rate Determination in Nepal:

Nepal Rastra Bank has issued a unified directive to licensed institutions of “A”, “B” and “C” categories, 2078 BS. No. 15, point 1, sub-point 2, while determining and publishing the interest rate to be provided on deposits, licensed banks and financial institutions may determine the interest rate by changing the average of the maximum interest rate (except for the accounts specified in sub-point 5 and sub-point 7) and the minimum interest rate (except for call deposits) published by all institutions of the concerned category in the previous month by a maximum of ten percent. In this way, if the difference between the maximum and minimum interest rates established while determining the interest rate exceeds the limit of the provision of sub-point 5, then one of the maximum or minimum rates should be maintained and the other rates should be adjusted. The above provision expresses the idea that any institution should take the maximum and minimum average rates prevailing in the banking sector as a basis while determining the interest rate. The average rate should be understood as the average of the interest rates published by all institutions of the same category in the previous month. For example, if the average of the maximum interest rates published by all banks in category 'A' in the previous month is 8.5 percent, then the banks in category 'A' should set the interest rate based on that. This provision stipulates that the average of the previous month can be changed by a maximum of 10 percent. As a result, if the interest rate is to be increased, then the banks in category 'A' can set the maximum interest rate up to 9.35 percent by increasing the average of 8.5 percent by ten percent. Similarly, if the average of the minimum interest rates published by all banks in category 'A' in the previous month is 5.5 percent, then the banks in category 'A' should set the minimum interest rate on the same basis. Since this provision stipulates that the average of the previous month can be changed by

a maximum of 10 percent, then if the interest rate is to be increased, then the banks in category 'A' should set the minimum interest rate up to 6.05 percent by increasing the average of 5.5 percent by ten percent.

71. Deposit Interest Rate Exclusions:

The maximum interest rate can also be the interest rate of any deposit account designated by the bank as providing interest. However, for this purpose, while accepting the amount of social security allowance as a personal deposit account and the amount of revolving fund as a fixed deposit, the interest rate established by mutual agreement between the bank and financial institution and the customer and the interest rate provided when the remittance amount received from the banking system of Nepalis employed abroad is deposited in banks and financial institutions cannot be taken as a basis. Similarly, the minimum interest rate can also be the interest rate of any deposit account designated by the bank as providing interest, but call deposits cannot be taken as a basis for this purpose.

72. Interest Rate Difference Rule:

If the maximum and minimum interest rates to be determined remain within the difference of 5 percent, no adjustment can be made. In the example given in Question No. 1, such a difference is shown as only 3.3 percent. In such a case, the interest rates of all your deposits should be increased and kept within this limit. No further adjustment can be made.

73. Interest Rate Adjustment Requirement:

If the difference between the maximum and minimum interest rates increases and the interest rate exceeds the limit of five percent, the rates must be adjusted compulsorily. In the example of Question No. 1, if the average minimum interest rate published by all banks in category 'A' in the previous month is 3.5 percent, then category 'A' banks can only set the minimum interest rate up to 3.85 percent by increasing it by ten percent. However, in this case, since the difference between the maximum interest rate of 9.35 and the minimum interest rate of 3.85 remains at 5.5, the interest rate must be adjusted compulsorily.

74. Adjusting Interest Rates Beyond Limit:

According to the above example, since the difference between the maximum interest rate of 9.35 percent and the minimum interest rate of 3.85 percent is 5.5 percent, it is necessary to adjust the interest rate. In such a situation, the licensed institution must take the maximum or minimum interest rate as the basis. If the maximum interest rate is 9.35 percent, then to maintain the difference between the interest rates at 5 percent, the minimum interest rate of that bank should be kept at a maximum of 4.35 percent and the other rates between the maximum and minimum should be adjusted. If the minimum interest rate is 3.85, then

the maximum interest rate of that bank should be determined at 8.85 percent and the difference between the interest rates should be kept at 5 percent and the other rates should be adjusted.

75. Combined Interest Rate Basis:

There is no need to base the maximum and minimum interest rates on each deposit.

76. Stock as Business Loan Collateral:

Does the single customer credit limit of margin loans apply even when taking such a loan? Entrepreneurs and businessmen can take loans by pledging shares along with other collateral for their industrial and business activities. Banks and financial institutions can also pledge shares as collateral as additional collateral for loans disbursed for business purposes, just like they pledge other assets. In loans disbursed for business purposes other than for the purpose of purchasing shares of other institutions, the maximum limit of Rs. 40 million from a licensed institution and a maximum limit of Rs. 120 million from all licensed institutions as in margin loans is not applicable.

77. Fixed Interest Rate for Small Business Loans:

If you want to take a loan of up to Rs. 10 million and start an agricultural, handicraft and skill-based business or other enterprise business, you can take a loan at a fixed interest rate by adding a premium of up to 2 percent to the base rate of banks and financial institutions for businesses other than import-related businesses.

78. Microfinance Public Deposit Authority:

Microfinance institutions are not allowed to collect savings deposits from individuals other than their members. Only a limited number of branches of Nirdhan Utthan Microfinance Institution Ltd. and Chhimek Microfinance Institution Ltd. have been granted permission to collect deposits from the general public.

79. Microfinance Institution Categories:

A microfinance financial institution is required to charge an interest rate and service fee as specified in the circular on interest rate and service fee issued by Nepal Rastra Bank from time to time. According to the latest circular, a microfinance financial institution can charge a maximum interest rate of 15 percent and a service fee of up to 1.50 percent on the loans it disburses.

80. Microfinance Loan Limits:

Microfinance financial institutions can disburse unsecured microloans of up to Rs. 300,000 per member (maximum Rs. 500,000 for members who have availed loans for the past 2 years and are in good standing) and collateralized loans of up to Rs. 700,000 for poor and low-income individuals, firms or groups engaged in specified agriculture, microenterprises and businesses, and up to Rs. 1.5 million for individuals who have availed loans for the past 2 years and are in good standing.

81. Microfinance Regulation:

The Nepal Rastra Bank regulates and supervises microfinance institutions.

82. Microfinance Definition:

An institution that obtains a license from Nepal Rastra Bank and makes poor and low-income individuals, especially women, members, collects regular savings from them, and provides microfinance loans without collateral to operate agricultural and microenterprise businesses on a collective basis, and provides collateral loans up to a certain limit to operate microenterprises and microbusinesses by taking acceptable collateral from its members or other persons, and collects savings from members in a limited amount is called a microfinance financial institution.

83. Bank Information Contact:

To obtain or provide any type of information related to a bank or financial institution, one should contact the information officer of that bank or financial institution as mentioned on its website.

84. Credit Information Preparation:

is a provision that any bank or financial institution must inform the Credit Information Center within the specified period of time about all the loans/facilities approved by it, details of all loans/facilities that are overdue by more than 90 days, and loan amounts of one million rupees or more to be blacklisted. Accordingly, based on the details provided by banks and financial institutions to the Credit Information Center, the center prepares and provides credit information requested by any other bank or financial institution. In the case of microfinance financial institutions, there is a provision to send borrowers with loan amounts of Rs. 500,000 or more to be blacklisted. However, borrowers who intentionally default on loans can be blacklisted regardless of the amount of loan.

85. Credit Information Rules:

Any bank and financial institution must mandatorily obtain the credit information of that customer from the Credit Information Center before disbursing credit to any of its customers, renewing old loans, restructuring or rescheduling loans.

86. Loan Information Definition:

Loan information is the information that banks and financial institutions obtain from the Credit Information Center established under the Companies Act regarding the loans taken by any of their customers (individuals, firms, companies or organizations) from various banks and financial institutions and their status.

87. Financial Interest Definition:

If a director of a bank or financial institution, a shareholder or chief executive officer holding one percent or more of the shares, or a family member of such a person or a person with the authority to nominate a director, company or corporate body, purchases shares, individually or jointly, amounting to ten percent or more of the paid-up capital of any firm, company or corporate body, such person or persons shall have an interest in the institution in which they own ten percent or more of the shares.

88. Early Warning Signal Definition:

An early warning signal is a situation where the bank or financial institution concerned may face a potentially bad situation in the near future, based on the analysis and monitoring of changes in any index related to the bank or financial institution, important information received, the financial position of the bank concerned, the status of compliance with instructions, etc.

89. Stress Testing Definition:

Stress testing is the study of the pressure or change in the financial indicators of a bank or financial institution when imagining an economic and financial situation different from the current one. Stress testing is carried out to study the impact that fluctuations in the economy due to internal and external factors may have on the capital, liquidity and income of any bank or financial institution.

90. Compulsory Cash Reserve Ratio (CRR):

There is a provision that banks and financial institutions must mandatorily deposit a certain percentage of their total deposit liabilities in cash in an account opened with Nepal Rastra Bank. Such a balance is called the compulsory cash balance, while the fixed ratio of the deposit liabilities specified to determine the amount to be kept in the account with the Rastra Bank as compulsory balance is called the compulsory cash balance ratio.

91. Off-Balance Sheet Transactions:

Off-balance sheet transactions are transactions that may create liabilities for a bank or financial institution, such as letters of credit, guarantees, acceptances, commitments, foreign exchange swaps, options, and forward transactions, and the term also refers to transactions in instruments specified by the Nepal Rastra Bank from time to time.

92. Risk Weighted Assets:

Risk weighted assets are the total number obtained by multiplying the amount of each item on and off the balance sheet of a bank or financial institution by the specified risk weight.

93. CAMELS Rating Definition:

CAMELS rating is a method of evaluating the capital adequacy (C), asset quality (A), management quality (M), return position (E), liquidity position (L), and market risk sensitivity (S) of the concerned bank or financial institution as a conclusion of the inspection work after the completion of the on-site inspection.

94. Overnight Liquidity Penalties:

If the daily liquidity facility taken by banks and financial institutions is not repaid on the same working day, the remaining amount will be converted into an overnight liquidity facility and interest will be calculated on that facility at the bank rate. If the institution needs additional facilities without repaying the remaining amount of the overnight liquidity facility, an additional one percent will be added to the overnight liquidity facility of the previous working day and interest will be calculated on the overnight liquidity facility of that working day and the facility will be provided by calculating the interest at the bank rate.

95. Liquidity Facility Limits:

The securities as per Regulation 26 of the Nepal Rastra Bank Open Market Transactions Regulations (First Amendment, 2079), 2078 will be kept as collateral in the Monetary Management Department of this bank and the daily liquidity facility limit will be set up to a maximum of 90 percent. However, the amount up to the daily liquidity facility limit can be used for overnight liquidity facility.

96. Overnight Liquidity Definition:

Overnight liquidity facility refers to the facility provided by this bank for the overnight period at a specified interest rate, for the amount remaining to be cleared within the specified time limit of the same day out of the daily liquidity facility utilized by the institution.

97. Intraday Liquidity Definition:

Intraday liquidity refers to the funds that banks and financial institutions require during the day to meet their payment and settlement obligations in real-time. In the context of Nepal Rastra Bank (NRB), intraday liquidity is particularly important as the central bank operates the Real-Time Gross Settlement (RTGS) system, which enables high-value and time-critical transactions among banks, government institutions, and other stakeholders. Effective management of intraday liquidity ensures smooth functioning of payment systems, reduces settlement risks, and strengthens financial stability. NRB provides mechanisms such as intraday liquidity facilities (ILF) to help participant banks manage temporary shortfalls and maintain efficiency in the financial system.

98. Digital Payment Precautions:

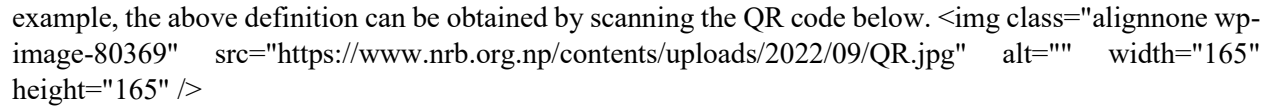
Users should not provide their secret password, One Time Password (OTP) or sensitive details (such as account number, date of birth, citizenship or passport number, etc.) to other people by any means, they should change their passwords from time to time and keep such passwords confidential. If the device used for payment such as card, mobile phone etc. is stolen or lost, the service should be blocked by informing the concerned service provider immediately. More information in this regard is available on the bank's website

https://www.nrb.org.np/contents/uploads/2022/02/Notices_PSD.pdf

99. Electronic Wallet Transfer Limits:

Up to Rs. 50,000 per transaction, up to Rs. 100,000 per day, and up to Rs. 100,000 per month can be transferred through the wallet. The bank may change the limit for such transfer by issuing instructions from time to time.

100. QR Code Definition:

It is a special type of Bar Code that can be scanned by an electronic payment device to retrieve the details stored in it. It contains the account details of the merchant receiving the payment. Currently, as per the instructions of this bank, there is no charge to the customer for making payments through QR Code. For example, the above definition can be obtained by scanning the QR code below. 

101. E-money Definition:

E-money is the amount deposited in an electronic wallet, prepaid card or other electronic device that allows physical cash held in banks and financial institutions to be transacted electronically. E-money is also called Virtual Money.

102. NFC Card Definition:

An NFC (Near Field Communication) card is a card used to make payments for small amounts without entering a PIN code or OTP code.

103. Point of Sale (PoS):

Point of Sale (PoS) is an electronic payment acceptance device that allows various merchants or shops to accept payment for goods and services purchased or consumed by customers through various cards currently available.

104. Issuer and Acquirer Banks:

The bank that issues any electronic payment instrument such as payment card, QR is called Issuer Bank. If the electronic payment instrument issued by the Issuer Bank is used through a terminal of another bank, the bank with that terminal is called Acquirer Bank.

105. Issuer and Acquirer Banks:

Transactions made using a payment card issued by any bank and financial institution at the ATM terminal of the same institution are called On-Us transactions. Similarly, transactions made using a payment card issued by one bank and financial institution at the ATM terminal of another bank and financial institution are called Off-Us transactions.

106. Electronic Card Transaction Limits:

The maximum cash withdrawal limit using electronic cards is as follows:

Issuing institution	Device	Per transaction (Rs.)	Per day (Rs.)	Per month (Rs.)
Banks and financial institutions	Prepaid cards	10 thousand	20 thousand	2 lakh
Banks and financial institutions	Debit Card	25 thousand	1 lakh	4 lakh
Banks and financial institutions	Credit Card	Up to 10 percent of the approved limit		
Service providers other than banks and financial institutions	Prepaid Card	5 thousand	25 thousand	

Customers can pay the amount as per the bill through the card to the account of the relevant business firm while purchasing goods and services.

107. Payment Transaction Fees:

As per the instructions of this bank, the licensed institution has determined the fees charged according to the nature of the payment transaction. The updated details regarding the fees so determined are published on the website of the concerned institution.

108. Obtain permission:

banks and financial institutions licensed by this bank need to obtain permission to perform payment-related activities.

109. Payment Activities Licensing:

Only organizations licensed by Nepal Rastra Bank to perform payment-related activities can perform payment-related activities.

110. RTGS Transaction Procedure:

To transact through the RTGS system, they must go to the bank or financial institution where they have an account and submit the payment order details in the prescribed format. Once the payment order received in this way is entered into the RTGS system by the bank or financial institution, the transaction is completed immediately.

111. RTGS Participating Institutions:

RTGS transactions can be conducted from any branch of the banks and financial institutions affiliated with this system. The list of banks and financial institutions that can conduct RTGS transactions can be viewed on the bank's website

112. RTGS Transaction Amount limit:

Any amount of Rs. 2 lakh or more can be paid through the RTGS system.

113. RTGS vs Other Payments:

Transactions made through RTGS are credited to the customer's account immediately, while transactions made through other large-value payment instruments (such as ECC, IPS) are not credited to the customer's account immediately but take some time. The key difference between RTGS and other electronic payment instruments lies in the nature of settlement and the type of transactions they serve. RTGS, operated by Nepal Rastra Bank, is designed for high-value and time-critical payments, where transactions are settled individually and in real time, making them final and irrevocable. This system minimizes settlement risk but requires banks to maintain sufficient intraday liquidity. In contrast, other electronic payment instruments such as NEFT, card payments, mobile banking, or QR-based payments are mainly used for low- to medium-value retail transactions. These payments are usually processed in batches or on a deferred net settlement basis, meaning final settlement takes place at specific intervals rather than instantly. As a result, while RTGS ensures immediate and risk-free settlement for large transactions, other instruments focus on convenience and efficiency for everyday payments but may involve some settlement lag.

114. RTGS Information Sources:

More information about RTGS can be obtained from the RTGS System Rules, 2019. Also, more information can be obtained by contacting Nepal Rastra Bank, Payment Systems Department, RTGS Operation Center (01-4428202).

115. Financial Institutions RTGS Transactions:

Financial institutions that do not participate in the RTGS system can transact as indirect members through participating banks that are direct members of this system.

116. RTGS System Benefits:

Transacting through the RTGS system reduces settlement risk, is safe and reliable as transaction details are immediately visible in the RTGS system, and accelerates economic activity as payment for transactions is made immediately.

117. Operating period of the RTGS system:

There is a provision for customer transactions (Customer Transfer) and interbank transactions (Interbank Payments) to be done in the Morning Exchange for Customer and Interbank Payments and Afternoon Exchange for Customer and Interbank Payments Period, while the Evening Exchange for Interbank Payments Period is reserved for interbank RTGS transactions only. Click on this link to see RTGS Timing. Link: [Final_RTGS-System-Rule-V2-2079-06.pdf](https://www.nrb.org.np/contents/uploads/2019/12/Final_RTGS-System-Rule-V2-2079-06.pdf#page=37) (nrb.org.np)

118. RTGS Currencies and Limits:

The currencies that can be transacted through this system include Nepali Rupee (NPR), US Dollar (USD), Euro (EURO), British Pound (GBP) and Japanese Yen (JPY). In the case of Nepali Rupee and Japanese Yen, any amount of Rs 200,000 or more can be paid through this system, while in the case of US Dollar, Euro and British Pound, any amount of Rs 200,000 or more can be transacted through this system.

119. RTGS Transaction Duration:

Transactions through the RTGS system are usually completed within a few minutes.

120. RTGS Transaction Fee :

There is a provision that a fee of Rs. 10 will be charged for trading during the Morning Exchange for Customer and Interbank Payments Period, Rs. 20 for trading during the Afternoon Exchange for Customer and Interbank Payments Period, and Rs. 100 for trading during the Evening Exchange for Interbank Payments Period.

121. RTGS Participating Institutions:

RTGS transactions can be conducted from any branch of the banks and financial institutions affiliated with this system. The list of banks and financial institutions that can conduct RTGS transactions can be viewed on the bank's website.

12. Real-Time Gross Settlement (RTGS) Transaction Process:

To transact through the RTGS system, one must go to the bank or financial institution where one has an account and submit the details of the payment order in the prescribed format. Once the payment order received in this way is entered into the RTGS system by the bank or financial institution, the transaction is completed immediately.

123. Defining the RTGS System:

It is an electronic payment system used for large value payments. This system mainly handles large value and urgent payments.

124. Electronic Wallet Transfer Limits:

Up to Rs. 50,000 per day and up to Rs. 500,000 per month can be transferred from one wallet to another.

125. Mobile and Internet Banking Daily Payment Limits:

Currently, up to Rs. 3 lakh and Rs. 2 lakh can be paid per day through mobile banking and internet banking, respectively

126. Interest on Mobile Wallet Balances:

Generally, the amount deposited in the mobile wallet opened by customers does not earn interest.

127. Debit Card Definition and Function:

A debit card is a card issued in the name of a customer to allow withdrawals and payments from a bank account.

128. Credit Card Definition and Repayment:

A credit card is a card that allows the customer to make payments even if they do not have money in their bank account. The cardholder must repay the amount spent on such a card to the relevant bank or financial institution after a certain period of time, along with a specified fee.

129. Types of Payment Cards in Nepal:

There are currently three types of payment cards prevalent in Nepal: credit card, debit card, and prepaid card.

130. ATM Withdrawal Fee for Other Banks:

When a payment card issued by one bank and financial institution is used at an ATM of another bank and financial institution within the country, a fee of up to Rs.15 may be charged.

131. Fees for Payment Transactions:

Each institution determines the fees charged according to the nature of the payment transaction. Updated details regarding the fees determined in this way are published on the website of the concerned institution.

132. User Support for Payment Devices:

If you have any difficulty using the payment device you are using, you can resolve it by contacting the institution where you have your account by phone or other available means and providing/receiving information.

133. Licensed Payment Institutions and Banking Roles:

Apart from banks and financial institutions, a total of 37 institutions, including 10 payment system operators and 27 payment service providers, are currently operating payment-related activities after obtaining licenses from this bank. An updated list of institutions operating after obtaining licenses from this bank has been placed on the website of this department. Banks and financial institutions licensed by this bank can perform payment-related activities after obtaining licenses.

134. Functions of Payment Service Providers:

Payment service providers provide direct services to customers in electronic payment transactions. These organizations conduct electronic payment transactions between customers and service providers, such as making payments for goods, services, assets, or other liabilities, and transferring funds domestically and internationally.

135. Cross-Border Revenue Payment to Nepal:

The Office of the Comptroller and Auditor General has a US dollar account in this bank to arrange for the payment of Value Added Tax (VAT) and Electronic Service Tax (DST) levied on electronic service transactions provided by non-residents to consumers in Nepal from abroad to Nepal in foreign currency. Revenue can be paid by sending the amount to be deposited in that revenue account through the Nepal Rastra Bank's Nostro Account located abroad. For information on the laws, rules, methods, procedures, Nepali Fiscal Calendar, Time Zone, Commission/Fees/Bank charges or other similar expenses incurred in payment, you can get information through the Inland Revenue Office.

136. QR Code for Foreign Exchange Transactions:

When exchanging Indian rupees and other foreign currencies, Nepali rupees can be paid in cash and through QR Code. When transacting through QR Code, the limits as per the rules of this bank and the concerned bank will apply.

137. Banking Services on Public Holidays:

On holidays where the Government of Nepal has declared an emergency or special holiday and the government itself has decided to continue banking services, essential banking services including cash payments, ECC/IPS, public debt management and RTGS can be provided at the specified times.

138. Maximum Cheque Payment through ECC System:

A maximum amount of N.R. 30 crore can be paid through cheque through ECC System.

139. SWIFT Deposits to Personal Accounts in Nepal:

This bank does not have a system for depositing money into a personal account via SWIFT from abroad.

140. ECC and IPS Trading Hours:

ECC/IPS Trading Time Month: Magh 16 to Kartik 15 Sunday – Thursday: ECC – 10:00 AM to 3:00 PM | IPS – 10:00 AM to 5:00 PM Friday: ECC & IPS – 10:00 AM to 1:00 PM Month: Kartik 16 to Magh 15 Sunday – Thursday: ECC – 10:00 AM to 3:00 PM | IPS – 10:00 AM to 4:00 PM Friday: ECC & IPS – 10:00 AM to 1:00 PM.

141. Types of ECC Transaction Sessions:

Regular sessions are conducted from Monday to Thursday from 10:00 am to 3:00 pm and on Friday from 10:00 am to 12:00 pm. Three Express sessions of 1/1 hour are conducted every day from 10:00 am to 1:00 pm. Similarly, two High Value sessions are conducted from 10:00 am to 3:00 pm.

142. Nepal Rastra Bank Account Eligibility:

Accounts of government offices, government organizations/institutions, and banks and financial institutions are opened at Nepal Rastra Bank. There is no provision for opening a personal account at this bank.

143. Banking Transaction Hours of Banking Department:

The banking transaction hours conducted by the Banking Department are from 10:00 AM to 4:00 PM on Sundays to Thursdays when the office is open (10:00 AM to 3:00 PM from Kartik 16 to Magh 15) and from 10:00 AM to 12:30 PM on Fridays.

144. SWIFT Transfers from Abroad to Nepal:

Since only government agencies can open accounts in Nepal Rastra Bank, it is not possible to send money to an account in this bank to deposit money into an individual's account. The amount can be sent to the SWIFT code of the bank or financial institution in the name of the person in whose name the money is to be deposited, so that the money is deposited into that person's account.

145. Government Banking Arrangements in Nepal:

Government transactions are being conducted through the Banking Department of Nepal Rastra Bank, provincial offices, and branches and extension counters of commercial banks approved to conduct government transactions.

146. Procedures for Government Account Deposits:

To deposit a deposit or other amount in the account of the Government of Nepal, in which account, for what purpose, in the name of which office such amount should be deposited, the amount can be deposited by filling in all the details mentioned in the specified voucher, including the office code of that office. When depositing a deposit through check clearing, in addition to the above-mentioned details, the name of the office to which the amount is to be sent for deposit must be mentioned and the office operating the account must have stamped and stamped the back of the check.

147. Ways to Pay Government Revenue:

The revenue of the Government of Nepal can be paid to the Banking Department of Nepal Rastra Bank and the provincial offices. In addition, permission has been given to the commercial banks concerned for the revenue collection work. The revenue can be paid only from the bank branch/counter designated for the purpose for which the revenue is to be paid. The revenue of some offices can be paid by logging in to Connect IPS operated by Nepal Clearing House Limited (NCHL) and rajaswa.fcgo.gov.np operated by the Office of the Comptroller General.

148. Foreign Currency Exchange from Banking Department:

Nepali citizens traveling to countries other than India can exchange foreign currency up to a maximum of US\$2,500.- or equivalent convertible foreign currency from the banking department based on the required documents and other necessary documents specified by this bank, depending on the cash balance. However, such exchange facility will be provided only not more than twice in a year. Also, to exchange foreign currency held by any Nepali citizen, he/she should contact the banking department of this bank along with details of the source of income, passport photo and other specified documents. The banking department will exchange a maximum of US\$5,000.- and provide N.R.

149. Indian Rupees Exchange for Medical Treatment:

In case the patient himself or his relatives are unable to attend the trip to India for medical treatment along with the original document recommended by a registered doctor recognized in Nepal, the exchange facility can be provided to the patient up to a maximum of INR 25,000.- depending on the INR cash balance in this bank.

150. Indian Rupees Exchange Limit for Travel:

Indian rupees can be exchanged when traveling to India for study, pilgrimage, and other purposes. For this, based on the documents that clarify the purpose of the trip, air, train, or bus tickets, and taking into account the need and justification, a maximum of INR 10,000 per person can be provided with exchange facilities.

151. Indian Rupee Exchange for Indian Citizens:

Nepal Rastra Bank also provides Indian Rupee exchange to Indian citizens. Indian citizens who are in Nepal for various professional and other reasons can be provided with exchange facility up to a maximum of Indian Rupees 5,000.- once a week, based on original documents proving their identity, need and justification.

152. Nepal Rastra Bank Indian Rupee Exchange for Nepali Citizens:

In the case of Nepali citizens, there is a provision that a maximum of Indian Rupees 10,000 can be exchanged in a fortnight based on the original documents of citizenship or other identity cards issued by the Government of Nepal.

153. Banking Department Services for the Public:

The general public mainly gets Indian rupees and foreign currency exchange facilities from the Banking Department of Nepal Rastra Bank.

154. Gold Bar Weight and Pricing for Public Purchase:

The gold bars that the general public can buy from the Exchequer are 2.5 grams, 5 grams, and 10 grams. Their prices are determined daily in line with the fluctuations in market prices.

155. Gold and Silver Bullion Resale Policy:

Gold and silver coins purchased from the mint cannot be resold in the same branch. That is, Nepal Rastra Bank sells gold and silver coins to the public, not purchases them from the general public.

156. Buying Souvenir Coins and Medallions:

Souvenir coins and medallions sold by Nepal Rastra Bank can be purchased from the Nepal Rastra Bank, Currency Management Department, Minting Division, Babarmahal.

157. Purchasing Gold and Silver from Nepal Rastra Bank:

Gold and silver bullion/coins sold by Nepal Rastra Bank can be purchased from Nepal Rastra Bank, the Mint Division under the Currency Management Department, Babarmahal and provincial offices.

158. Availability of Coins at Nepal Rastra Bank:

The general public can purchase coins from the counter located in the Babarmahal premises of the division on the days the office is open. The office hours are from Sunday to Thursday from 10 am to 4 pm (from Kartik 16 to Magh 15 from 10 am to 3 pm) and on Friday from 10 am to 12 pm.

159. Nepal Rastra Bank Currency Division Location:

The Currency Division of Nepal Rastra Bank is currently located in the Nepal Aushadhi Limited building in Babarmahal, Kathmandu.

160. Nepali Currency Printing Process:

The printing of Nepali currency is done by selecting a security printing company through international bidding.

161. Banknote Protection and Preservation:

To protect banknotes, keep them in a wallet or purse without folding them, and do not apply any type of paint. Do not write on the banknotes carelessly. Similarly, do not damage the banknotes by kerming, tearing, stitching, or gluing them, which can shorten their lifespan.

162. Definition and Locations of Note Funds:

"Note Fund" means a fund set up by Nepal Rastra Bank for the smooth supply of Nepali rupees throughout Nepal. Currently, there are a total of 79 note funds in the Kingdom of Nepal, including 8 of Nepal Rastra

Bank, 45 of Rastriya Banijya Bank, and 26 of Nepal Bank Limited. Such note funds are generally located in government banks located in district headquarters.

163. Penalties for Defacing Banknotes:

If you arbitrarily write or draw on a note or deface it by cutting it, the note may be confiscated and you may be imprisoned for three months and fined five thousand rupees.

164. Identifying Genuine and Fake Banknotes:

You can distinguish whether a note is genuine or fake by identifying some of the features that can be seen with the naked eye. For example, genuine notes have a watermark, which when held up to light, shows the shape of a lily flower. Such watermark is not clearly visible on fake notes. Genuine notes have a security thread, which when held up to light, has English words written on it and does not cover any letters. Such thread on fake notes may cover the letters. The paper used in genuine notes is somewhat rough and the print quality is also good. The paper of fake notes is slippery and the print quality is not good. The color of genuine notes does not fade or fade even when soaked in water, whereas the color of fake notes fades and fades when soaked in water.

165. Reporting Counterfeit Notes:

If you suspect that a note is counterfeit, you should report it to the nearest Nepal Rastra Bank office or police office.

166. Exchanging New Banknotes:

Only new (fresh) notes can be exchanged as specified by the bank. The bank can provide exchange facilities by providing any type of dry or (fresh) note of the same rate or another rate.

167. Procedure for Replacing Damaged Banknotes:

To get a replacement for banknotes damaged in a fire or natural disaster, an application must be submitted to the concerned police office or the concerned local body or an authorized officer as per prevailing law, along with a certified copy and a bond.

168. Filing an Appeal for Note Exchange Refusal:

An appeal can be filed with the appeal hearing officer within thirty-five days of receiving the notification stating the reason for the refusal to exchange the note.

169. Disposition of Unexchangeable Banknotes:

They don't. The bank refuses to exchange such notes and confiscates them and provides information along with the reason to the person concerned.

170. Reasons for Refusing Note Exchange:

The bank will not exchange notes with mismatched numbers, corrected notes, notes with arbitrary writing, notes that may be subject to double exchange, notes whose denomination and full number cannot be determined, and notes with less than fifty percent of the original value.

171. Process for Exchanging Counterfeit Notes:

To exchange a counterfeit note, the counterfeit note must be presented to the bank. If the counterfeit note is very dirty, the notes are in a condition that makes it difficult to count, or such notes are not whole, then for exchange, a piece of paper of the same denomination and a whole note of the same denomination must be pasted on the back of the counterfeit note and presented to the bank that exchanges the counterfeit note.

172. Counterfeit Note Exchange Locations:

Counterfeit notes can be exchanged at Nepal Rastra Bank, the Currency Management Department, all provincial offices of Nepal Rastra Bank, and all commercial banks that operate currency exchanges.

173. Definition of a Tattered Note:

A tattered note refers to a note that is torn, wrinkled, worn, burnt, wrinkled, eaten by insects, soaked in water and the printing has faded or is blurred, stained, etc.

174. Working Hours of the Monetary Management Department:

The services provided to the general public by the Department of Monetary Management are provided from 10 am to 4 pm on bank opening days from Sunday to Thursday. From Kartik 16 to Magh 15 (from 10 am to 3 pm) and on Fridays from 10 am to 12 pm.

175. General Public service from Currency Management Department:

The general public can avail from the Currency Management Department facilities such as replacing uncirculated notes, exchanging notes, purchasing souvenir coins, silver coins, medallions, and gold bullion.

176. Functions of the Currency Management Department:

The Currency Management Department designs, prints, mints/gets coins minted, and performs all necessary work for the smooth supply of currency nationwide, as well as exchanging currency and destroying unfit notes.

177. Nepalese Banknote Denominations:

There are currently 11 denominations of notes in circulation in Nepal, namely Rs. 1, 2, 5, 10, 20, 25, 50, 100, 250, 500 and 1000. However, notes of Rs. 1, 2, 25 and 250 have not been issued at present.

178. Reverse Repo Definition and Function:

'Reverse Repo' is a tool used by Nepal Rastra Bank to mop up liquidity through open market transactions against the security of government bonds it owns, in the event of excess liquidity in the banking system.

179. Interest Rate Corridor Definition:

The lower and upper limits of the interest rates used in interbank transactions, as expected by the Nepal Rastra Bank through monetary policy, are called interest rate corridors.

180. Interest Rate Corridor Definition:

The lower and upper limits of the interest rates used in interbank transactions, as expected by the Nepal Rastra Bank through monetary policy, are called interest rate corridors.

181. Standing Liquidity Facility (SLF) Explained:

Standing Liquidity Facility is a credit facility provided by the central bank to specified institutions against the collateral of eligible securities for short-term liquidity management.

182. Online Bidding System Explanation:

The online bidding system is an electronic medium for bidding on government bonds (Treasury Bills and Development Bonds) and monetary management instruments (repo, reverse repo, outright sale, outright purchase, deposit collection, and Nepal Rastra Bank bonds) issued through the bidding process.

183. Liquidity Management Instruments of Nepal Rastra Bank:

Nepal Rastra Bank uses repo and outright purchase instruments to inject liquidity through open market transactions, while reverse repo, outright sale, deposit collection, and Nepal Rastra Bank bonds are used to absorb liquidity.

184. Money Market Definition:

The market where instruments maturing within a year are bought and sold is called the money market. The money market provides an opportunity to make short-term investments and borrow money.

185. Bank Rate Definition and Function:

The interest rate charged by the central bank when providing loans against acceptable collateral to banks and financial institutions is called bank rate.

186. Open Market Transaction Authority in Nepal:

The 'Open Market Transactions Operation Committee', formed under the chairmanship of the Deputy Governor of Nepal Rastra Bank, conducts open market transactions. In addition, the Monetary Management Department of the bank also conducts open market transactions.

187. Open Market Operation Explained:

Open market operation is the act of buying and selling government bonds and bonds issued by Nepal Rastra Bank through a bidding process, or of injecting/absorbing liquidity with or without the collateral of bonds, for the purpose of managing the liquidity of the banking sector.

188. Secondary Market Trading of Nepal Government Bonds:

The secondary market trading of Nepal Government bonds is conducted as follows.
(a) Treasury Bill: Like a promissory note, the buyer and seller meet and buy and sell each other in the secondary market. However, information about such transactions must be provided to the National Debt Management Department.
(b) Development Bonds: There is a provision that the secondary market trading of development bonds can be done only through the Nepal Securities Exchange Market Limited (NEPSE).
(c) Citizen Savings Bonds: The secondary market trading of citizen savings bonds can be done through market makers across the country as well as through the provincial offices of Nepal Rastra Bank.
(d) Foreign Employment Savings Bonds: You can conduct secondary market trading, that is, sell your savings bonds through the provincial offices of Nepal Rastra Bank or the offices of market makers.

189. Risks of Holding Government Bonds:

Government bonds are considered risk-free bonds. They are considered risk-free because the sovereign government guarantees that the principal and interest will be paid on the specified date.

190. Benefits of Investing in Government Bonds:

Since government bonds are issued by Nepal Rastra Bank on behalf of the Government of Nepal, there is no fear of default on the investment made in them, interest is earned over a fixed period of time, they can be easily sold in the secondary market if there is an immediate need for cash, and loans can be easily obtained from banks and financial institutions by using them as collateral.

191. Issuance of Government Bonds:

Government bonds are issued through a bidding process conducted by Nepal Rastra Bank. The bidding is conducted through an online bidding system. The method used in the issuance and bidding of various bonds is as follows.
(a) Treasury bills are issued through bidding. The multiple-bid method (American

Auction System) is used in the bidding.
(b) Development bonds are issued through bidding, while the single-interest rate method (Dutch Auction System) is used in the bidding.
(c) The sale of Citizens Savings Certificates and Foreign Employment Savings Certificates is opened, closed and issued on the dates specified by the "Open Market Operations Committee". Information regarding this is published in newspapers and on the website of this bank. The term of these bonds and the fixed interest rate available on them are as specified by the Government of Nepal.

192. Foreign Employment Savings Bond:

A government bond that can only be purchased by Nepali citizens employed outside the country and non-resident Nepalis living abroad is called a 'foreign employment savings bond'. Such a savings bond can be purchased from abroad and by submitting proof that the money earned abroad has been brought home through legal means.

193. Citizen Savings Bond:

The government bond issued by the Government of Nepal with the aim of raising internal debt from citizens is called a Citizen Savings Bond.

194. Development Bond:

A development bond is a government bond used to raise internal debt for a period of more than two years, i.e., medium and long term. Currently, development bonds issued by Nepal Rastra Bank have maturities ranging from 3 years to 15 years.

195. Treasury Bill:

A Treasury Bill is a short-term government bond used to raise domestic debt with a maturity of one year or less. Treasury Bills come in 4 types based on their maturity: 28 days, 91 days, 182 days, and 364 days.

196. Types of Government Bonds Issued by Nepal Rastra Bank:

Recently, Nepal Rastra Bank has been issuing four types of government bonds: Treasury Bills, Development Bonds, Citizens Savings Bonds, and Foreign Employment Savings Bonds.

197. Definition of a Government Bond:

Government bonds are bonds issued by the Government of Nepal to mobilize internal debt.

198. Definition of a Bond:

A bond is a type of financial instrument in which investors receive principal and interest from the institution issuing the bond after a certain period of time.

199. Legal Basis for Nepal's Cryptocurrency Ban:

Bitcoin, the first cryptocurrency, seems to have come into circulation since 2009. The Foreign Exchange (Regulation) Act, 2019 has been amended 10 times so far, of which the last time was amended on BS 2075/11/19 (2019). Similarly, the Foreign Investment Prohibition Act, 2021 has been amended twice so far, of which the last time was amended in BS 2074 Baisakh Masant (2017). In some cases, since it is not possible to keep amending the act, appropriate provisions are made in accordance with the rules, regulations, instructions, circulars and notifications under the relevant acts. Accordingly, restrictive provisions have been made in Nepal regarding Cryptocurrency since BS 2074/04/29.

200. Cryptocurrency Mining in Nepal: A Legal and Economic Perspective

Only miners who compete and succeed in mining receive cryptocurrency as remuneration. Although Nepal has a good potential for hydroelectricity, various factors affect the returns and income from mining, one of which is energy. The factors that determine the returns from mining include the number of miners currently participating and those who will participate in the future, the capacity of the computer used in mining (Hash Rate), the amount of Cryptocurrency obtained upon successful mining (Block Reward - Halving), energy consumption, the price of energy, the cost of such pooling if mining is done through a group or pool, the market price of the Cryptocurrency obtained after successful mining, etc. Just as there are various costs involved in producing a product, energy is a cost aspect of mining. Just as the entrepreneur deducts expenses from the selling price after producing the product and saves profit, the value of the remuneration received by the miner also depends on various factors. Although Nepal has comparative advantages in the availability and price of some industrial raw materials, including labor and energy, Nepal has not become a global manufacturing hub due to various other factors. Similarly, there is no guarantee that ordinary Nepalis will participate in cryptocurrency mining and earn income solely on the basis of Nepal's hydropower potential. Also, banning the consumption and use of any item in Nepal and producing such item in Nepal and supplying it to the global market does not seem reasonable, even in terms of the existing spirit and ethics of global trade.

201. Prosecution of Nepalis Abroad for Cryptocurrency:

It is the duty of a good citizen to abide by the laws of their country. There may be some limitations in the country regarding the government enforcing certain legal provisions. For example, if all citizens of the country are involved in criminal activities, it may be impossible for any country to punish all citizens and

put them in prison. However, Nepalis living abroad who participate in activities that violate the prohibition of cryptocurrency can also be brought under the appropriate legal framework through various bilateral and multilateral international treaties to which Nepal is a party.

202. Comparing Cryptocurrency and Central Bank Digital Currency:

The main difference between cryptocurrency and Central Bank Digital Currency (CBDC) is who issues the currency. Cryptocurrency is issued by the private sector, while CBDC is issued by an authorized body to issue currency. Cryptocurrency does not have any collateral/security/guarantee, while CBDC is secured by the issuing authority as per the rules and the sovereign country also provides collateral/guarantee.

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204. The Complexity of Cryptocurrency Payments:

complicates payment transactions rather than simplifying them. Before sovereign countries issued standardized currencies, various non-uniform items/metals and documents from the private sector served as currency. Although such private currencies were not accepted by the general public, they were accepted only by a certain class or community and basically did not function as a Medium of Exchange like in the barter system. Currently, there are about 23,000 types of cryptocurrencies in circulation in the world, making payment transactions through cryptocurrencies more complicated than payments and settlements made with universally accepted currencies like the Nepali rupee. Also, although inflation affects them to some extent, the currencies issued by sovereign countries also function as a Store of Value. Under which, if you do not need to purchase any goods and services at the present time, you can purchase goods and services in the future. However, since the price of cryptocurrency depends purely on market demand and supply and is highly volatile, the price of cryptocurrency may drop drastically, making it impossible to purchase any goods and services in the future.

205. Restrictions on Nepalis' Investment:

Since investing in cryptocurrency is a speculative investment, it can either yield a return or it can lead to the loss of your entire investment amount (principal). The Foreign Investment Prohibition Act, 2021 is in place, which prohibits not only cryptocurrency but also any form of foreign investment, such as purchasing real estate abroad, purchasing foreign securities, taking ownership of foreign companies, opening accounts in foreign banks, etc.

206. The Legal Status of Cryptography, Blockchain, and Distributed Ledger Technology in Nepal:

Latest technologies like Cryptography, Blockchain and Distributed Ledger can be used for various purposes. Cryptocurrency is one of these various purposes. Currently, Cryptography, Blockchain and Distributed Ledger technologies are not banned in Nepal, but the use of such technologies is banned for the purpose of making objects (visible or invisible) that can act like currency. As per the prevailing Nepal law, the monopoly of making currency is granted to Nepal Rastra Bank, so the act of making currency by anyone other than the Rastra Bank and using any technology is prohibited. In addition, the act of making such currency is tantamount to making counterfeit/counterfeit currency.

207. Global Variations in Cryptocurrency Regulation:

Different countries have different arrangements regarding investments made by their citizens in other countries, capital flows from one country to another, and monetary arrangements. Investments from Nepal are prohibited. Although full convertibility is provided to the current account in Nepal, no such arrangement is made in the capital account. There is also a regulation/control system in Nepal regarding currencies issued by sovereign countries and countries that are prevalent around the world (such as the US dollar, Japanese yen, British pound, etc.). There is a provision that Nepali citizens can keep foreign currency in cash only up to a specified limit within Nepal. In addition, since notes of denominations greater than 100 rupees are banned in Nepal, the control/restriction related to cryptocurrency is under Nepal's specific system. UNCTAD, a body under the United Nations, has held that cryptocurrency is harmful to developing countries and that the expansion of cryptocurrency in developing countries should be stopped. Similarly, the International Monetary Fund has advised El Salvador to revoke the legal recognition of cryptocurrencies. Even in China and India, cryptocurrencies have not been opened up like in other developed countries. Also, due to the existing legal provisions that require Nepali rupees to be introduced for transactions within Nepal, it is not envisaged that any object (visible or invisible) that can function as currency will be issued by the private sector. The prevailing Nepalese law considers such an act as a punishable act.

208. Understanding High Returns in Cryptocurrency:

Since cryptocurrency itself does not provide any inherent utility, its value and the return on investment from it are determined purely on the basis of market demand and supply. Sometimes returns are also obtained from certain transactions such as gambling, cards, lotteries, betting, etc., but since such transactions/investments are of a speculative nature, they are highly risky and the investment amount can sink. However, there may be individuals/groups who are actively spreading rumors unilaterally claiming that attractive returns can be obtained from cryptocurrency transactions. The recent collapse of the second largest cryptocurrency exchange like FTX and the collapse of TerraUSD and LUNA clearly show that investing in cryptocurrency is risky.

209. Risks of Investing in Cryptocurrency:

Although cryptocurrency is called a currency, it is not a currency issued by a sovereign country with a guarantee/security. Since it is issued by a specific person/group in the private sector, there is no guarantee of the investment made in it. Therefore, investing in it is risky.

210. Mining Cryptocurrency:

Cryptocurrency can be obtained mainly by mining and purchasing. Mining refers to the act of keeping a record of transactions on a cryptocurrency network. Therefore, mining is also called validation. When cryptocurrency users buy/sell cryptocurrency, there is a competition between Validators/Miners to validate that such transactions are real transactions, and the Validator/Miner who succeeds in this task is given cryptocurrency as a reward.
Another major means of obtaining cryptocurrency is to purchase cryptocurrency from another party. Such buying and selling can also be done through cryptocurrency exchanges.

211. The Technology Behind Cryptocurrency:

Cryptocurrency is issued so that it can be used to make payments without a financial intermediary (the central bank or monetary authority that issues the currency). To do this, all users connected to the network must keep records of the receipts and expenditures of cryptocurrency (which in the existing system is kept by the central bank or banks and financial institutions). Blockchain or Distributed Ledger technology is used to keep records of all users connected to the network.
If any transaction occurs in Blockchain or Distributed Ledger technology, the transaction is notified to all computers connected to the network. The group of such new transactions (also called blocks) is determined through a specified collective consensus, and such determined blocks are sorted with other previous blocks. Since each new block is associated with the previous block, cryptocurrency is designed in such a way that it is not possible to spend money that you do not have or to spend any money that you have.

212. Cryptocurrency:

Cryptocurrency is a digital asset that can be traded as a currency issued by the private sector.

213. The Legality of Cryptocurrency in Nepal:

Since Bitcoin and other cryptocurrencies are illegal in Nepal and have not yet been legally recognized, such transactions are not allowed. Such transactions are legally illegal.

214. Foreign Investment and Foreign Debt Administration in Nepal:

The administration of foreign investment and foreign debt by Nepal Rastra Bank is guided by the Nepal Rastra Bank Foreign Investment and Foreign Debt Management Regulations, 2078 (including the second amendment).

215. Applying for a Money Changer's License in Nepal:

An application for a money changer's license can be submitted to the appropriate provincial office of Nepal Rastra Bank or the Foreign Exchange Management Department. However, the process of issuing new money changer licenses at locations other than international airports is currently closed.

216. Foreign Exchange License Eligibility in Nepal:

Natural persons cannot obtain a license to conduct foreign exchange transactions. Only legally established firms, companies, incorporated associations, and organizations can obtain a license to conduct foreign exchange transactions. An organization that obtains a money changer license must be a company.

217. Fees for Money Changer License in Nepal:

A money changer must pay the following fee to obtain/renew a license:
(a) Twenty-five thousand rupees for purchase and sale transactions of Indian rupees.
(b) One hundred thousand rupees for purchase and sale transactions of convertible foreign currency.
(c) One hundred twenty-five thousand rupees for both transactions mentioned in (a) and (b) above.
(d) An additional twenty-five thousand rupees for transactions providing exchange facilities for passports to Nepali citizens traveling abroad.

218. Money Changer License Deposit and Bank Guarantee Requirements in Nepal:

Money changers must submit the following deposit/bank guarantee to obtain/renew their license:
(a) One hundred thousand rupees for Indian rupee purchase and sale transactions.
(b) Five hundred thousand rupees for convertible foreign currency purchase and sale transactions.
(c) Six hundred thousand rupees for both the above transactions.
(d) An additional two hundred thousand rupees for transactions that also provide passport exchange facilities to Nepali citizens traveling abroad.
In addition to the above deposit/bank guarantee, the following cash deposit must also be placed with Nepal Rastra Bank:
(a) Fifty thousand rupees for Indian rupee purchase and sale transactions
(b) Seventy-five thousand rupees for convertible foreign currency purchase and sale transactions
(c) One hundred thousand rupees for both the above (a) and (b) transactions.

219. Money Changer License Duration in Nepal:

The duration of a license to conduct foreign exchange transactions for money changers is three years.

220. Number of Licensed Money Changers in Nepal:

Currently, there are a total of 369 licensed money changers in Nepal, 161 within the Kathmandu Valley and 208 outside the Kathmandu Valley.

221. Penalty for Late Renewal of Foreign Exchange License in Nepal:

Failure to renew a foreign exchange transaction license on time will result in the following penalty:
(a) Travel/trekking, hotels, airlines, cargo and other companies will be fined twice the renewal fee for each month for a period of one year from the date of expiry.
(b) Double the renewal fee for each month if the license for foreign exchange transaction related to casinos and games played only through modern machines or equipment is applied for within three months of the expiry date.

222. Appropriate Titles for Information Retrieval:

The application should be submitted along with the necessary documents in the format prescribed by the Nepal Rastra Bank, Foreign Exchange Management Department. Detailed information regarding this is mentioned in the Nepal Rastra Bank Foreign Exchange Transaction License and Inspection Regulations, 2077. The said regulations are also available on the website of this bank <https://www.nrb.org.np>.

223. Duration of Foreign Exchange Licenses in Nepal:

The duration of the license to transact foreign exchange for travel/trekking, hotels, airlines, cargo and other companies is as follows:
(a) Travel/trekking, hotels, airlines, cargo and other companies: Maximum three years.
(b) Casinos and games played only through modern machines or equipment: Maximum one year.

224. Annual Foreign Exchange License Fees in Nepal:

The following annual fees are charged for each place of business to obtain and renew a license to transact foreign exchange by travel/trekking, hotels, airlines, cargo and other (except money changers and remittance companies):
1. Departmental stores/supermarkets, airlines and hotels of three stars and above: four thousand rupees only.
2. Any other hotel, resort, firm, company or institution and government body with the objective of earning profit: two thousand rupees only.
3. Casino: one hundred thousand rupees only.
4. Games played only through modern machines or equipment: fifty thousand rupees only.

225. Procedures for Foreign Exchange Transactions for Companies in Nepal:

Travel/trekking, hotel, airline, cargo and other companies must complete the procedures as mentioned in Chapters 3 and 4 of the Nepal Rastra Bank, Foreign Exchange Transaction Licensing and Inspection Regulations, 2077 to conduct foreign exchange transactions. The regulations are available on the bank's website <https://www.nrb.org.np>.

226. Arrangements for Digital Remittances in Nepal:

Nepal Rastra Bank Foreign Exchange Management Department Notice: This notice is published for the information of all concerned parties regarding the following arrangement, made by exercising the authority granted by Section 12 of the 'Foreign Exchange (Regulation) Act, 2019'.

Banks, financial institutions, and remittance service provider companies licensed by this Bank to conduct remittance business may, in addition to the existing provisions of the 'Nepal Rastra Bank Remittance Bylaws, 2079', enter into agreements containing the conditions below with Digital Payment institutions operating in countries where Nepalis are employed. This will allow them to digitally remit funds to Nepal. Beneficiaries in Nepal can receive payments in local currency through electronic payment instruments (Mobile Banking, Internet Banking, Electronic cards, Digital Wallet, etc.) operated by payment service providers (including banks and financial institutions) licensed by this Bank in Nepal.

Conditions:

(a) The institution sending remittances from the country where Nepalis are employed must be associated with an institution that operates a Digital Payment Instrument in that country.

- (b) The institution, as per clause (a), must be registered in accordance with the laws of that country and must have obtained a license for Outward Remittance business from the regulatory body of that country.
- (c) When conducting cross-border transactions via a Digital Payment Instrument, the agreement must clearly specify the security measures to be adopted in the software, such as: Identification Number, System Security/Unauthorized Access to third parties, Confidentiality, Settlement, etc.
- (d) The concerned parties must express a commitment to securely maintain digital records of transactions for the period specified by the prevailing laws of Nepal.
- (e) In a situation where the recipient cannot transfer or physically collect the payment for the amount sent by the sender from abroad via a Digital Payment Service Provider, and if the amount in the Wallet exceeds the prescribed limit, the payment service provider institution must arrange for the excess amount to be transferred to the recipient's bank account.
- (f) Compliance with the provisions related to AML/CFT mentioned in the prevailing laws must be ensured.
- (g) In case a transaction cannot be completed due to incorrect details, an arrangement for automatic Reimbursement must be in place.
- (h) The agreement made between the concerned parties, incorporating the points above, must be submitted to this Bank.
- (i) Details of remittances received through this method must be submitted to the Foreign Exchange Management Department on a fortnightly basis in the existing format (Schedules 29.1 and 29.2).

227. Remittance Business Closure in Nepal:

The remitter can close his/her business if he/she wants to. However, for this, prior approval must be obtained from the Nepal Rastra Bank, Foreign Exchange Management Department.

228. Capital Requirements for Remitter License:

For a remittance company that issues remittance cards, it is Rs. 250 million, for a remitter company that transacts as a principal company, it is Rs. 100 million, and for a company that transacts remittances as an agent of a principal company located abroad, it is Rs. 200 million.

229. Duration and Renewal of Remittance License:

A remittance business license is granted for a maximum of one year. Such a license can be renewed.

230. Number of Remittance Companies in Nepal:

There are 51 licensed companies (excluding banks and financial institutions) that conduct remittance transactions in Nepal.

231. Rules for Nepali Citizens' Foreign Investment:

Nepali citizens are not allowed to make any kind of investment abroad. However, Nepali citizens living abroad can open a bank account abroad and invest with the foreign exchange earned during their stay abroad or the foreign currency earned from the investment of that foreign exchange. Such investment must be brought into Nepal within 35 days of returning to Nepal.
If you want to maintain such an account or investment abroad, you must provide information about the name, address, account number, foreign currency and amount of the bank where the account or investment is held, to the Nepal Rastra Bank, Foreign Exchange Management Department within 35 days of returning to Nepal.

232. Document required for the exchange approval for repatriating the amount earned from foreign investment through technology transfer:

For the exchange approval for repatriating the amount earned from foreign investment through technology transfer, documents including the technology transfer agreement approved by the regulatory body, the approval letter from the regulatory body for repatriating the amount earned for technology transfer, the invoice issued by the concerned foreign investor, proof of tax paid as per the rules on the amount earned, and the decision of the board of directors of the concerned organization regarding the exchange approval for repatriating the amount earned, the details of the amount earned certified by the auditor, and the latest tax payment and audited financial statements should be submitted.

233. Procedure for repatriate the amount earned from foreign investment:

To repatriate the amount earned from foreign investment that has already been accounted for, an application must be made to the Single Point Service Center under the Department of Industry or the Foreign Exchange Management Department of Nepal Rastra Bank along with an approval letter from the Department of Industry or the Investment Board.

234. Required Documents for Foreign Investment Accounting:

For accounting of foreign investment, the documents mentioned in the notice published by this bank on 2073/12/31 should be submitted. The link of the said notice is here.

235. Document required for approval of foreign investment :

For approval of foreign currency inflow for foreign investment, the documents mentioned in the notice published by this bank on 2069/10/09 must be submitted. The link to the said notice is here.

236. Mandatory Accounting of Foreign Investment and Loans in Nepal:

After bringing foreign currency for foreign investment and foreign loans into Nepal, the act of recording the amount with the Nepal Rastra Bank is called accounting. Accounting for foreign investment and foreign loans is mandatory to repatriate unaccounted foreign investment and foreign loan proceeds and to purchase and sell shares held in the name of foreign investors.

237. Application for Foreign Currency Import Permission in Nepal:

For permission to import foreign currency for foreign investment and foreign loans, one should apply to the Foreign Exchange Facilitation Unit under the Foreign Exchange Management Department of Nepal Rastra Bank located at the Single Point Service Center, Department of Industry, Government of Nepal, Tripureshwor.

238. Borrowing Foreign Currency by Nepali Citizens, Firms, and Organizations:

Nepali citizens, firms and organizations can borrow in foreign currency from their relatives, other individuals, non-resident Nepalis or organizations abroad, interest-free or within the maximum limit of 1 year LIBOR rate + 5.5%, up to a maximum of US\$ 1 million and in the case of India, up to 100 million Indian rupees.

239. Interest Rate Limit on Foreign Currency Loans in Nepal:

The interest rate on foreign currency loans taken by firms/companies established in Nepal should be within the maximum limit of 1 Year LIBOT+5.5%.

240. Foreign Currency Loans for Foreign-Invested Companies in Nepal:

Industries/companies established with foreign investment can take loans in foreign currency in accordance with prevailing legal provisions.

241. Industries and Businesses Restricted for Foreign Investment in Nepal:

Foreign investment has not been opened in the following industries or businesses mentioned in the schedule related to Sub-section (2) of Section 3 of the Foreign Investment and Technology Transfer Act, 2075: 1. Industries or businesses in the sectors other than large industries related to animal husbandry, fisheries, beekeeping, fruits, vegetables, oilseeds, pulses, dairy business and primary agricultural products that export at least 75 percent of their production
2. Small and home enterprises
3. Personal service businesses (such as hair cutting, sewing, driving, etc.)
4. Industries producing arms, ammunition, explosives or nuclear biological and chemical (NBC), industries producing atomic energy, radioactive materials
5. Real estate buying and selling business (except construction industry), retail trade, domestic courier service, local catering service, money changer, remittance service
6. Travel agencies involved in tourism, guides, trekking and mountaineering guides, rural tourism including homestays
7. Mass media business (newspapers, radio, television and online news), national language film business
8. Management, accounting, engineering, legal consulting services and language training, music training, computer training
9. Consulting services with more than fifty-one percent foreign investment.

242. Minimum and Maximum Limits for Foreign Investment in Nepal:

The minimum limit for foreign investment in Nepal is Rs. 20 million per foreign investor, while there is no maximum limit. However, the minimum foreign investment limit does not apply to non-resident Nepalis (natural persons) investing in Nepal through an investment company established with joint investment by the Government of Nepal and non-resident Nepalis.

243. Suspension of Licensing for New Microfinance Institutions in Nepal:

Nepal Rastra Bank has currently stopped the licensing of new microfinance institutions.

244. Deposit Collection Restrictions for Microfinance Institutions in Nepal:

A microfinance institution is not allowed to collect savings deposits from individuals other than its members. Only limited branches of Nirdhan Utthan Microfinance Institution Limited and Chhimek Microfinance Institution Limited have been granted permission to collect deposits from the general public.

245. Handling Complaints Against Microfinance Institutions in Nepal:

Complaints regarding microfinance financial institutions are heard by Nepal Rastra Bank. For this, this bank has a complaints hearing unit under the Banking and Financial Institutions Regulation Department.

246. Scope of Operations for Microfinance Institutions in Nepal:

There are two scopes for microfinance financial institutions: the provincial level, which allows them to open branches in districts of the same province, and the national level, which allows them to open branches throughout the country.

247. Types of Microfinance Institutions in Nepal:

Microfinance institutions licensed by Nepal Rastra Bank can be classified into two (2) types based on their loan transactions: those that deal only with wholesale loans and those that deal with retail loans. Microfinance institutions that deal with retail loans only disburse loans to poor and low-income individuals and women by making them members.

248. Main Funding Sources of Microfinance Institutions in Nepal:

The amount received as capital from shareholders, savings collected from members, loans received from banks and financial institutions, and funds allocated from the profits made by the institution are the main sources of funds for microfinance institutions.

249. Interest Rate and Service Fee Guidelines for Microfinance Loans in Nepal:

Microfinance financial institutions are required to maintain the interest rate and service fee as prescribed in the circular on interest rate and service fee issued by Nepal Rastra Bank from time to time. For this purpose, the 'Consolidated Directive, 2078' issued by Nepal Rastra Bank to microfinance financial institutions sets the interest rate at 15 percent and the service fee at a maximum of 1.5 percent.

250. Loan Limits for Microfinance Institutions in Nepal:

A microfinance financial institution can provide unsecured microloans up to a maximum of Rs. 500,000 per group member to poor and low-income individuals to operate a microenterprise or business on a collective basis, and up to Rs. 700,000 for group members who have availed loans for the past two years

and are in a good category, and up to Rs. 1.5 million for individuals who have availed loans for the past two years and are in a good category.

251. Types of Loans Offered by Microfinance Institutions in Nepal:

A microfinance financial institution can provide two (2) types of loans: unsecured microloans under group guarantee and secured loans against acceptable collateral.

252. Regulation and Supervision of Microfinance Institutions in Nepal:

Microfinance financial institutions are regulated by Nepal Rastra Bank, Department of Banking and Financial Institutions Regulation and supervised by Nepal Rastra Bank, Department of Microfinance Institutions Supervision. For this, Nepal Rastra Bank has issued separate integrated directives.

253. Definition of Microfinance Financial Institutions in Nepal:

An institution that receives a license from Nepal Rastra Bank and makes poor and low-income individuals and women members, collects regular savings from them, and provides microfinance loans without collateral to operate agricultural and microenterprise businesses on a collective basis, and provides collateral loans to operate microenterprises and microbusinesses by taking acceptable collateral from its members or other persons, and collects savings from members in limited amounts is called a microfinance financial institution.